DISSENTING OPINION BY M. PESSÔA.

[*Translation.*]

I.

THE LACK OF JURISDICTION.

1.—The Court can only have jurisdiction under the terms of Articles 13 and 14 of the Covenant, or under the Statute, which form its constitutional laws.

According to both of these instruments, for the Court to have jurisdiction it is not enough that the Parties should be States or Members of the League of Nations (Articles 34 and 36 of the Statute); it is also essential that the case, in itself, should be of an "international character" and should be governed by international law (Articles 13 and 14 of the Covenant and 38 of the Statute). The latter condition has already been recognized and stated by the Court on more than one occasion: Judgments No. 2, pp. 12 and 16; No. 13, pp. 27 and 28, etc. In all cases between two States in which one has taken up the defence of the interests of its nationals, for instance in the *Wimbledon*, Mavrommatis, Upper Silesian cases, etc., the Court, in order to establish its jurisdiction, has always shown that the subject-matter of the dispute was governed by international law and that the purpose of the decision was to enforce principles or apply instruments of international law.

Now, the Court itself admits in the judgment delivered in the Franco-Serbian dispute (page 18), to which it refers as regards its jurisdiction in the Franco-Brazilian affair, that this affair *exclusively* concerns "relations between the borrowing State and private persons, that is to say, relations which are, in themselves, within the domain of *municipal law*".

It therefore seems to me clear that the Court is not competent to pass upon this dispute.

Even if an extension of the Court's jurisdiction is desirable, it is necessary to begin by modifying the texts governing that jurisdiction.

2.—In order to establish its jurisdiction in this case, the Court explains (judgment in the Serbian affair, p. 18) that, the

Brazilian Government having "contended that the service of the loans was being effected by it in full conformity with the obligations resulting from the contracts, this view was not shared by the French Government. As from this point, therefore, there existed between the two Governments a *difference of opinion....* It is this *difference of opinion* between the two Governments and not the dispute between the Brazilian Government and the French holders of the loans which is submitted by the Special Agreement to the Court."

There is however no distinction between this *difference of opinion* and "the dispute between the Brazilian Government and the French bondholders".

Brazil hold that the service of the loans should be effected in paper; the French holders claimed payment in gold.

The French Government decided to take up the case on behalf of the bondholders.

What is the difference of opinion between the two Governments? The same, absolutely the same as that existing between Brazil and the bondholders: the Brazilian Government continues to defend payment in paper and the French Government, representing the claims of the bondholders, continues to maintain that payment should be in gold, as the bondholders contended. There is no difference.

The fact that the two are identical is so evident that the Court is unable to avoid admitting it (Franco-Serbian judgment, p. 18): ".... in substance", it says, the difference of opinion between the two Governments is "*identical* with the controversy already existing between the debtor Government and its creditors".

But, if the difference of opinion between the two Governments is identical with the controversy existing between the debtor Government and its creditors, a dispute which, according to the judgment, "is exclusively concerned with relations at municipal law" and consequently is outside the Court's jurisdiction, it is not easy to see why and how the difference of opinion between the two Governments can be within that jurisdiction.

3.—The Court now contends that it is not only questions of international law which may be submitted to it. And in favour of this new doctrine, it cites paragraph 2 of Article 36 of the Statute, according to which States may recognize as compulsory the Court's jurisdiction in legal disputes concerning "the existence of any fact which, if established, would constitute a breach of an international obligation". In support of this clause the Court observes that Article 13 of the Covenant includes the disputes above mentioned "among those which are generally suitable for submission to arbitration or judicial settlement".

In the first place, however, the terms of Article 36, paragraph 2, only apply in respect of the *optional clause régime,* a special régime, differing so widely from the normal régime, that the Statute specifies separately the cases in which the Court has jurisdiction under the two régimes (Articles 36 and 38). In the second place, there is in the Franco-Brazilian case no fact which, if established, would constitute a breach of an international obligation; there are contracts concluded between a Government and individuals, contracts which, as is recognized by the Court itself, are governed by the *municipal* law of the debtor or of the creditor, and the breach of which is therefore merely a matter of *private* law.

4.—Another consideration. A State may take up a case on behalf of its nationals. It is by application of this principle that France has assumed the defence of the interests of the French bondholders before the Court.

But who are in this case the French nationals? Who are the French bondholders?

No one knows. No one can know. Having regard to the nature of the bonds, which are freely transferable, the French bondholders at the time of the Special Agreement may even no longer be the holders of the bonds. And in that case, how is the intervention of France to be justified? The French Government itself does not know who the nationals, whose interests it is defending, are. In the Mavrommatis, *Wimbledon* and Upper Silesian cases, it was well-known who the Greek or German nationals concerned were. The respective proceedings clearly defined them. Here it is not so; here they are not known and there is no means of knowing them. In this suit, we have a State taking up a case on behalf of persons unknown, anonymous, and perhaps already non-existent.

It is true that Brazil, in spite of this, has accepted the Special Agreement; but the Court's jurisdiction cannot be based on the wishes or sufferance of the Parties. The Court either is competent under its Statute or is not competent. If it is not competent, no agreement between the Parties can give it powers which its constitutional texts withhold from it.

5.—For the reasons set out above, in my opinion the Court, instead of disregarding its own jurisprudence and interfering with questions of private law at the risk of providing serious disputes in the future, should have declared that it had no jurisdiction and thus left France and Brazil free to have recourse to direct agreement or arbitration, which are the only appropriate methods of settling such disputes.

II.

THE INTERPRETATION OF THE PARTIES.

6.—There is no doubt that the gold clause appears sometimes in the contracts, sometimes in the bonds and sometimes in the prospectuses of the Brazilian loans. But this circumstance in itself does not decide the question submitted to the Court.

What must be ascertained is whether this clause really represents the result of a previous considered and deliberate agreement between the Parties, and whether it represents an intention and definite undertaking on the part of Brazil to bear the depreciation of French money. Now, the contentions made in this connection by the Brazilian Government have given rise to doubts in my mind which the reasons given in the judgment have not succeeded in overcoming.

7.—The depreciation of the franc began in 1915. In 1917, in which year, according to the judgment, Brazil effectively resumed the payment of interest on the loans, the pound sterling rose to frs. 27.83 (instead of frs. 25.22) and the dollar to 5.86 (instead of 5.18).

As from 1919, the fall increased in alarming proportions, as is shown by the following table of averages:

Years.	*Pound sterling.*	*Dollar.*
1919	31.844	7.307
1920	52.676	14.476
1921	52.204	13.541
1922	54.633	15.013
1923	75.689	16.572
1924	85.682	19.414

In 1925 the depreciation increased still further (£1 = 102.237 frs.; $1 = 21.175 frs.). In 1926, in July, a pound equalled 243 francs! Even in the second half of that year a reaction set in: the franc was reascending in value, and since 1927 it represents about one-fifth of its value (£1 = 124.21; 1 dollar = 25.50 frs.).

Now, from 1917 to 1927, or for ten years—twenty completed period of six months—, the holders of the Brazilian loans, in spite of the enormous depreciation of the franc and the loss of millions which this depreciation represented for them, quietly accepted, without protest or representation, payment of the interest on their bonds in *paper francs depreciated to the extent indicated !*

Is it conceivable that they would have acted in this way if they had been convinced that the contracts guaranteed them payment in gold?

This seems to show that, in the eyes of the creditors themselves, the gold clause attached to the payment of interest and redemption of the loans had not the significance now attributed to it.

8.—For the judgment, the "significant period" as regards the inactivity of French holders is "between 1919 and 1924", for "until 1919 there appears to have been only a slight difference in the value of French currency as compared with a gold basis" (page 37).

The "significant period" as regards the inactivity of the French holders begins not in 1919 but in 1917, for at that date the depreciation of the franc was already more than 10 %, and this, on a total interest of more than 8,000,000 francs a year, represents a fairly considerable sum. As regards the end of the period, the Special Agreement, which is dated *August 27th,* 1927, states that payment *in paper* took place *up to that date* ("as hitherto", says Article I).

We are therefore justified in placing the period between 1917 and 1927.

But let us leave this point and accept the period fixed by the judgment, that is to say, from 1919 up to the first six months inclusive of 1924 (diplomatic negotiations having begun on September 1st).

We then find ourselves confronted with the following fact:

The total value of the Brazilian loans is 200 million francs. Their annual interest equals 8,400,000 francs. These figures, according to the judgment, represent *gold value.*

In 1919, the depreciation of the French bank-note was 21 %. In receiving *in paper* their 8,400,000 francs of interest, the bondholders lost 1,764,000 francs. In 1920, the depreciation was 53 %, and the loss 4,452,000. In 1921, the depreciation was 52 %, and the loss 4,368,000. In 1922, the depreciation was 54 %, and the loss 4,536,000. In 1923, the depreciation was 67 %, and the loss 5,628,000. Finally, in 1924, the depreciation was 71 %, and the loss (six months) 2,982,000.

So that from 1919 to 1924 the holders of the Brazilian loans—including holders who may be described as *permanent* holders, always the same, such as bankers, companies, capitalists, possessing, *from the date of subscription* thousands of shares—received, instead of 46,200,000 francs, *less than half*, i.e. 22,470,000 francs, thus suffering a loss of 23,730,000 francs!

Notwithstanding this colossal loss, they never adressed a protest or representation either to the Government or to the courts or even to the papers! What explanation can be given of this fact, save that the intention of the Parties was not to contract in gold and that the holders were sure that they had no right to payment in gold?

9.—It will be said that all the bondholders are not French bondholders, and that the whole of this enormous loss cannot be laid upon the latter who are the only ones represented in this case. But the great majority consists in French bondholders; thus the greater part of the losses falls to their share and their inaction clearly shows that they also were certain that the debtor was not obliged to pay in gold.

The silence of the creditors of other nationalities shows that this conviction was unanimous.

10.—The judgment says, to explain the inaction of the creditors, that "there were many [French] bondholders; that as individuals they were powerless as against the Brazilian Government, and it was necessary for them to associate themselves together and to interest the French Government in their case" (page 32).

But the French bondholders had no need to organize themselves and concert measures for the defence of their rights. This defence was organized from the very beginning of the fall of the franc, for the *Association nationale des Porteurs français de Valeurs mobilières*, which asked the French Government to intervene in this case, has existed since 1898, and its object is precisely "the defence of the interests of the French holders of French and foreign securities issued or negotiated in France", as is expressly stated by Article I of its statutes. Furthermore, the bonds of the loans are not only in the hands of individuals who are powerless against Governments but are chiefly in the hands of Companies, bankers and capitalists who have lawyers at their disposal and very well know how to approach the Government and the courts.

11.—It is also contended that as bonds transferable from hand to hand are concerned, there is no way of indentifying the holders in order to compare the individual interpretation of each one of them with the interpretation which follows from the actual wording of the contracts. The judgment however itself regards the French bondholders as perfectly identified, otherwise it would not have recognized the French Government's capacity to appear before the Court. For the purpose of our argument, however, this identification is not necessary, since what we contend, and what the facts show, is that none of the bondholders, whatever their name, nationality, capacity or profession may be, has ever regarded the contracts as being gold contracts. The transferability of the bond, instead of enfeebling, strengthens our argument. It creates a presumption that the number of holders during the period of five years and a half fixed by the judgment must have been really very high and, in spite of this, there has been no opposition in any country to the payment of the Brazilian loans in paper.

12.—It is therefore an indisputable fact that from 1917, the date of the resumption of the service of the loans, to 1927, the date of the Special Agreement, or, according to the judgment, from 1919, the date when the depreciation became more marked, to 1924, the date on which "it would appear" that the diplomatic negotiations began, Brazil *always* paid *in paper,* and the subscribers and holders, in spite of all mentions of *gold,* in spite of laws of authorization, decrees, contracts, bonds, coupons and prospectuses, *always received paper* in payment, thus maintaining a loss which, merely during the period from 1919 to 1924 alone, amounted to 23,730,000 francs out of 46,200,000!

Such is the interpretation placed upon the contracts by the Parties themselves.

13.—But other facts, equally important, show that this interpretation represented the general opinion. The proceedings in the Franco-Serbian case have indeed enabled it clearly to be seen that not only the bondholders but also the bankers and, which is more serious, the French Government itself, did not construe differently the Serbian contracts, which are from this point of view quite identical with the Brazilian loans.

Thus, whenever Serbia asked for payments *in gold* on account of her loans, the banks made her pay an additional sum described as a special premium.

Thus again, in 1921, Serbia not yet having received a portion (14 million francs) of her 1913 loan, this sum was remitted to her in *paper francs which were already much depreciated* (£1 = frs. 52.204; $1 = 13.541).

And again, when, in consequence of difficulties arising out of the war, France, in agreement with England, undertook to furnish Serbia with the funds necessary for the payments due to the holders of these same loans, it is also in *depreciated paper francs* that she provided the sums asked for.

14.—It is said that these facts cannot be used in argument against the bondholders who were not responsible for them. But they serve to show how the contracts were interpreted by all those who took part in carrying them out. Moreover, with regard to the last fact mentioned (the furnishing of sums in *paper* money by the French Government), as the Party appearing before the Court is not the bondholders but the French Government itself, the fact can, it seems to me, perfectly well be used against the latter.

15.—It is moreover easy to understand why the loans have always been interpreted in this way.

At the date of the contracts, the French bank-note had for a long time had the same value as gold; its credit was solidly placed on universal confidence and it offered the most complete guarantees of stability. The expressions *paper franc, French franc* or *gold franc* were used indifferently; all were *francs*. Each of these expressions conveyed *the same idea*, seeing that the note and gold were exactly equivalent. Whether one paid in *metal currency* or in *paper currency*, it was always payment in *gold*. No one imagined that this parity could disappear. The gold clause was thus merely regarded as a guarantee that the French bondholder would not be exposed to surprises resulting from the variations of foreign exchange and would be paid in his national currency, that is to say, francs.

This has been recognized by the judgment of the Tribunal of the Seine of July 26th, 1926, which, in a case to which the Brazilian Government was a Party, decided that the gold guarantee, undertaken in that case by Brazil, was only intended to "*give to its own currency* a certain stability which it did not possess at the time of the contract". (Clunet, 1927, p. 95.)

This is admitted by the French Case itself: after recalling that stipulations regarding payment in gold were, before 1914, frequently resorted to by States *whose national currency was subject to variation* and who were endeavouring to obtain capital from abroad, it makes this admission: "*It was in these conditions that Brazil was led to insert them in the greater part of its loans.*"

16.—It is therefore an indisputable fact that the Parties, for many years, and in perfect harmony, interpreted and executed the contracts as *paper* loans, which they were generally understood to be. Now, when the contracting Parties execute the contract *in a certain manner, in part,* or *for a certain time,* the contract must be executed in the future *in the same manner.* (Giorgi, *Teor. Oblig.,* Sp. transl. *Rev. Leg. Jurispr.,* Vol. IV, p. 185.)

It is of small importance that literally the terms of the contracts are not ambiguous; as we stated at the outset, it is not the *literal* sense which is to be considered in order to arrive at a sound judgment, but the *intention* of the Parties. The terms of contracts, however clear, are overcome by the intention underlying them, if the manner in which they have been executed by the Parties proves that their intention was not precisely that resulting from the literal meaning of the words. There is a rule of law common to most legislations and which is contained in Article 1156 of the French Civil Code, by which, in interpreting contracts, "the common intention of the Parties must be sought for *in preference to abiding by the literal meaning of the words*".

17.—Let us assume however that the foregoing reasons are not juridically sound. In that case it must at all events be recognized that this is a *doubtful* case, which, moreover, appears from the very fact that it has been submitted to the Court; but, under such conditions, the principle of law must be applied to it according to which, "in case of doubt, the contract is to be interpreted *against the person who has stipulated and in favour of the person who has contracted the obligation*" (French Civil Code, Art. 1162).

III.

THE FRENCH CIVIL CODE AND OTHER PUBLIC POLICY LEGISLATION.

18.—But let us suppose that the *gold* clause in the Brazilian contracts really constitutes an undertaking to pay in gold or its equivalent, to provide against the risks of depreciation in French currency.

In this case, the gold clause would not be valid and the contracts could not be executed in France.

The law which governs the conditions for and the currency of payments in contracts such as those which form the subject of the present case, concluded between a State and private subscribers or bondholders of another State, is the territorial law of the country where payment is made. This principle is found in almost all legal text-books, it is established by the decisions of French courts, as we shall see later, and is already included in a Code of International Private Law, adopted by several nations, the Bustamante Code, of which Article 170 provides that "the local legislation governs the conditions of payment and the currency in which it is to be made".

Now Article 1895 of the French Civil Code runs as follows:

> "The obligation resulting from a loan in money is *always* simply for the amount *in figures* indicated in the contract, and if there has been an increase or *diminution* of specie before the time of payment, *the debtor must return the amount in figures lent, and must return only this amount in the specie in currency at the time of payment.*"

Nothing could be clearer: the debtor must return the amount *in figures* lent and must return this amount only *in the specie in currency at the time of payment.*

"Any stipulation", says Duvergnier, "which would directly or indirectly result in authorizing the lender to *refuse currency at its legal value must be without effect.*" (*Droit civil,* Vol. VI, p. 198.)

And Fiore says: "If, for reasons of public interest, the law provided that bank-notes should be given and received in payments as ready money *at their nominal value,* in spite of any legal provision or *any stipulation to the contrary,* the creditor *could not refuse them or receive them only as a lesser value.*" (*Droit international privé,* Vol. I, No. 195.)

The French Civil Code, Article 1895, was in force at the time when the Brazilian loans were contracted, and the subscribers could not be ignorant of it. They therefore knew that, in paying in bank-notes, which are one of the currencies *which are legal tender* (law of August 12th, 1870), a debtor would discharge his obligation, and a creditor would not be entitled to refuse the payment: refusal would even constitute an offence which is expressly provided for under Article 475, § 11, of the Penal Code.

19.—In contracts, it may be said, it is the will of the Parties that controls, and the Parties in this case might very well have intended to exclude payment in bank-notes and to provide for payment in gold alone.

No, that would not be possible: the laws governing legal tender are laws appertaining to *public policy*, since they are directly concerned with the administration of the country and with its social structure, and consequently contracts of a private law character have no force as against such laws. This is the principle embodied in Article 6 of the French Civil Code [*Translation.*]: "Contracts of a private law character cannot derogate from laws concerning public policy."

"The rule", Aubry and Rau state, "that payments of sums of money must be made according to the *nominal* value of the currency at the time when these payments were effected, *being a rule founded on interests relating to public policy,* it follows that any contract infringing such rule must be considered as *void.*" (*Cours de Droit civil,* 4th ed., Vol. IV, § 318, p. 159.)

"Notes of the Bank of France", Planiol states, "may be used for payments *in place of gold or silver,* and that is so whatever be the sum to be paid. *The creditor is not entitled to refuse payment,* and ALL CONTRACTS TO THE CONTRARY ARE VOID, the law making bank-notes legal tender being one *of public policy.*" (*Traité de Droit civil,* Vol. II, 6th ed., p. 144, No. 423.)

But there is no need to have recourse to text-books to prove that Article 1895 of the French Civil Code is a provision of the nature of public policy. This nature is recognized by the Penal Code, which, by Article 475, § 11, as has already been observed, punishes "whosoever refuses coin or money of the realm not being false or defalsed *for their current value*".

20.—Besides the Civil Code, other laws relating to public policy, the law of legal tender (August 12th, 1870) and that of forced currency (August 5th, 1914) render the gold clause illegal in France.

IV.

THE JURISDICTION OF FRENCH COURTS.

21.—The judgment in fact agrees with this affirmation as regards forced currency but draws a distinction according to which "any gold clause is void when it relates to a domestic transaction, but it is not so in the case of international contracts even if payment is to be made in France".

And in support of this, the jurisprudence of the French courts is cited (page 35).

According to the Special Agreement, Article VI, "in estimating the weight to be attached to any municipal law of either country which may be applicable to the dispute, the Court .... shall not be bound by the decisions of the respective courts".

That evidently means that "the Court is bound to set on one side the decisions of international tribunals and itself to give that interpretation of the legal provisions which may seem most just in the particular case".

If the Court believed that it had not this right, nor had it the right to accept as definitive, without any personal examination of the public policy legislation of which we have spoken, the interpretation resulting from the jurisprudence of the French courts, which had been expressly excluded by the common consent of the Parties, and in that case it should have abstained from deciding the question of the applicability of that legislation to the payments to be made in France.

It is notwithstanding what the judgement has done, amidst difficulties arising from the fact that the dispute is to be determined by private law and therefore does not come within the Court's jurisdiction.

But the jurisprudence of the French courts in this matter has not that continuous, uniform and fixed character which is required in order to make it binding. The pleadings before the Court have clearly shown that for the purpose of estimating the validity or nullity of the gold clause, this jurisprudence bases itself at times on the nationality of the Parties, at others on domicile, at others on the locality of payment and at others on the nature of the contract.

Judgments exist in support of varying opinions.

Anyhow, M. Georges Hubrecht, in a book published only about five months ago, in which he considers at length all the phases of the jurisprudence of the French courts and not merely a few judgments, observes that after all these modifications this jurisprudence appears to have become fixed and to have consecrated the following principle: "*It is the place of payment* which is the *sole* determining factor for deciding whether the *gold clause* or the foreign currency clause is valid or not on grounds of forced currency."

It is therefore not sufficient that there shall be an *international* agreement in order to render the law on forced currency inapplicable; account must be taken of the place of payment under the agreement; if it is in France, the French law on forced currency is applicable.

"In the case of any payments of French francs which are made *in France*", M. Savatier states, "*the French laws on fiduciary circulation are obligatorily applicable; paper francs* and *gold francs* as we have defined them *are necessarily considered to be identical....* On the contrary, there is no authority compelling the application to a foreigner of laws of police and public safety such as those with which we are concerned.... It is thus seen how simply and easily the question of the validity of the *gold clause* in *international relations* may be decided; it will be sufficient to look to the *place of payment.*" (Dalloz, 1926, 2nd Part, p. 107.)

And M. Niboyet, also cited by the Brazilian Memorial, says: "Forced currency is obligatory *in international relations* in the same way as in domestic relations, *in all cases when that payment is to be made on French territory.*"

22.—Reference is made to the law of June 25th, 1928, which abolished the forced currency set up by the law of August 5th, 1914, and, after defining the franc, the French monetary unit, declares (Art. 2) that: "This definition shall not apply *to international payments which, prior to the promulgation of the present law, may have been validly stipulated in gold francs.*"

But no argument can be drawn from that provision as regards the Franco-Brazilian affair. The law of June 25th, 1928, is *two months later in date than the Special Agreement,* and a legislative act *later in date than the dispute and emanating exclusively from one of the Parties cannot be invoked against a right previously acquired by the other Party.*

23.—The considerations set forth in this last chapter serve to show that, even admitting the obligation to pay in gold as regards the Brazilian loans, the conclusions of the judgment are too absolute: due account should have been taken of the restrictions by which French public policy legislation—the Civil Code, the laws on legal tender and on forced currency—limits the Court's latitude of choice in the matter.

(*Signed*) EPITACIO PESSÔA.